

Loan terms

The lender sets the rate for the life of the loan, and the payment stays the same each month until it is paid off. A longer term lowers the payment and raises the interest paid over the years. Ask each lender for the same loan so the offers can be compared side by side and keep the estimates it sends in writing. Points paid at closing lower the rate, and a lender credit raises it in exchange for help with the costs of closing. The estimate shows both, and the closing disclosure shows what was agreed three days before the papers are signed so there is time to ask about anything that changed.